

Startup Proposal

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MI 452 Media Entrepreneurship and Business Strategies

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December 7, 2025

Intro & Background

Following our investigative research on the gaming industry, our group proposes a new startup that could help expand the interconnected world of gamers and follow analytical trends of social interaction and data curation. Our proposal idea is a new online service/ webforum page designed by real game developers, intended to be used by real players and fellow developers. The service will recommend users new games to play (both submitted by the users themselves and independent developers looking for promotion), having spaces on the website to comment and share opinions. The goal of this service is to create a community-sourced platform that aims to cut through the noise of an overflooded internet of information and AI misinformation.

In the past, recommendation services have long existed for all sorts of products. Movies, most notably, used to involve a stronger in-person interaction, with stores such as Blockbuster hosting knowledgeable employees who recommend new films (Feltus, 2025). Having these interactions helped viewers find their specific tastes and personal interests. For games, a similar interaction was seen at a store such as GameStop. In recent years, this store (and like many others) have seen a massive decline in customer sales due to the accessibility of the digital world no longer requiring in-person interaction (Gilbert, 2020). The curation of game recommendations for users is now seen almost entirely online. Services like Xbox Game Pass or Playstation Plus pick out games to provide to users to play on a monthly basis. Services like these, though, often benefit the players significantly more than the developer, as the developer is generating less direct revenue from the player purchase that is not offset by the increased player count (Bhatnagar, 2024). This struggle could be definitely amplified by the already accounted for difficulties of independent developers attempting to get their games noticed. Platforms like

Steam have a recommendation system established for users based on the games they play and how they are tagged, but this includes large AAA games alongside indie games—it also includes the rapidly increasing number of games crowding the platform, sitting at over 14,000 games in 2024 (Richardson, 2024). There are attempts to help bridge the gap between consumers and producers, like small indie festivals such as the Independent Games Festival (IGF) or even The Game Awards, helping put the spotlight on these small developers that are creating unique products (Couture, 2025). Festivals and awards ceremonies still can run into the difficulties of marketing and reaching the right audience, especially if they are not well promoted.

Considering all of this, the goal of our product (as aforementioned) is to better use the interconnectivity of the internet by crowdsourcing user opinions and the voices of the real developers to better highlight games being produced, trying to outweigh the crowded nature of the most popular games platforms. This service takes inspiration from products like Letterboxd, a movie logging site that allows users to interact with one another on what movies they are watching, and Kickstarter, a service that allows independent creators to source funding for their products and ideas via community. Trying to combine similar elements of these models and including social opportunities inspired by the threads of social media platforms like Reddit, X, or Instagram is something we believe we greatly benefit both consumers and producers in the gaming industry to better connect with their desired audience and platform.

Business Environment Analysis

Steam's business environment for our proposed gaming platform is highly competitive. The threat of new entrants is very high as you can make a digital platform with moderate startup costs. There is a way to differentiate our platform through community content, verified developer

spotlights, and a recommendation engine that will create barriers to entry. Supplier power, in this context, refers to the game developers providing content for the platform. Indie developers, who often struggle to gain visibility on crowded platforms like Steam, are likely to engage with our service. AAA developers probably won't see the same incentive to participate making it harder to onboard them on our platform. AAA developers are still important to have and create growth. Gamers have many ways to discover games including platforms like social media platforms. To keep users out, the platform will offer personalized recommendations. The threat of substitutes is still very strong, platforms like Xbox Game Pass, PlayStation services, YouTube reviewers, and Reddit forums do similar things. What makes us stand out is the suggestions, community reviews and developer insights that attract customers. Steam, Epic Games Store, and large AAA-focused services dominate the market and keep their user bases. To help us stand out, the company needs to have targeted niches in independent developers and players seeking personalized recommendations. Overall the business environment has lots of competition. Marketing spotlights are still a problem for indie game developers and we want to address that. In order to do that we will be competing with other platforms that are more established. By focusing on community involvement and partnerships with developers and festivals, our platform's goal is to make a presence in the digital gaming market.

Budget and Financing (ishaan reddy)

Building our gaming-discovery platform means designing a budget that reflects the real startup challenges. Even though our service is digital there are meaningful upfront costs we can't avoid that need to be addressed as soon as possible. Digital ventures often face this mix of high initial investment and low marginal cost, especially because the first version of the platform

requires technical labor and infrastructure before it can grow . Our first-year cost estimate of about \$35,000 comes from these fixed needs and it shows why careful financing matters so much at the beginning.

To fund these early expenses we plan to follow the typical order seen in many new ventures. Internal funds are always the cheapest option but since we're students with limited savings we'll combine small personal contributions with a targeted crowdfunding campaign. Early-stage founders usually rely on their immediate networks because outside investors hesitate when information is limited, especially in new digital markets (Baron and Shane). Crowdfunding also matches the kind of product we're building: platforms like Kickstarter work well for creative or community-driven projects and they let us raise money while also building a base of early supporters (Shillair).

If our platform takes off and we need additional capital to scale, then moving toward external investors becomes more realistic. Startups often work their way from personal funds to friends and family, then to crowdfunding, then eventually to angel investors and accelerators as traction increases (Shillair). An accelerator would help us in a later stage by offering seed money, mentorship and access to partners who specialize in digital-platform growth. Equity funding at that point would be worth the trade-off because we would have evidence that the platform can attract users and deliver real value. Throughout this process we have to manage risk carefully. Digital platforms operate in unpredictable environments where different variables can change the trajectory of our product. To keep downside low, we're following the "affordable loss" approach focusing on a budget small enough that failure is survivable but big enough to build something meaningful (Shillair). By keeping our financing flexible and grounded in realistic startup

behavior, we're giving our platform the best chance to grow sustainably without overextending ourselves too early.

Business Analysis:

Our platform focuses on two main groups: players who want better discovery tools and independent developers who need visibility in a crowded marketplace. Steam alone added over 14,000 games in 2023, making it extremely difficult for smaller studios to stand out (Statista, 2024). These customer segments allow the platform to function as a two-sided market that directly connects producers and consumers (Rochet & Tirole, 2006).

Unique Value Proposition

Our service combines AI-driven recommendations with community reviews and developer spotlights. Existing platforms often push AAA games first, reinforcing discoverability issues for indies (Wilde, 2022). Platforms like Letterboxd show how user-curated reviews can build strong engagement and trust (Spangler, 2023). By giving developers their own spotlight pages and letting players openly discuss games, our platform offers a more transparent discovery environment.

Key Activities and Resources

Core activities include maintaining the recommendation engine, moderating community spaces, and onboarding developers. Key resources involve platform software, user data, and partnerships with indie creators. Research shows that early attention to moderation and user trust is essential for long-term platform growth (Gillespie, 2018).

How We Will Scale in the Future

We will scale the consumer side through social media campaigns, influencer collaborations, and features like monthly spotlight games. Network effects help increase value as more people join (Evans & Schmalensee, 2016). For developers, we will expand through partnerships with indie festivals and game-jam communities such as IGF (IGF, 2024). Over time, verified developer pages and optional promotional tools will support sustainable growth.

Feasibility

The global gaming market is still growing, and game discovery remains a major challenge for independent creators (Newzoo, 2023). Our platform solves this issue by combining AI, community interaction, and developer participation. Since the service is built entirely online, scaling is low-cost and flexible. These qualities make the idea realistic and well-suited to today's digital environment, where users trust platforms that allow open discussion and transparent recommendations.

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